Neutral Citation Number: [2026] ECHC 418 (Comm)
Claim No: EC-2026-000418

IN THE HIGH COURT OF THE EASTERN CIRCUIT
COMMERCIAL DIVISION

Shire Hall, Elmsby
Date: 21 October 2026

Before:
HER HONOUR JUDGE ACHEAMPONG-REID

Between:

MARLOWE GRAIN TRADERS LIMITED *Claimant*

- and -

CRESSWELL LOGISTICS PLC *Defendant*

Ms Priya Venkataraman (instructed by Holt Fairley LLP) for the Claimant
Mr Gareth Ellwood (instructed by Prentice & Rowe) for the Defendant
Hearing dates: 15–18 September 2026

J U D G M E N T

A. Introduction

1. This is a claim for damage to a cargo of milling wheat that was stored by the Defendant at its warehouse in Elmsby between March and June 2025. The Claimant says that 1,240 tonnes of wheat were rejected by its buyer because they had become infested and damp while in the Defendant's custody. It claims £356,480, the price lost on resale, together with inspection and fumigation costs.

2. The Defendant accepts that it stored the wheat but denies that the damage occurred while the wheat was in its warehouse. In the alternative, it relies on clause 14 of its standard terms, which limits its liability to £20 per tonne.

3. The trial took place over four days in September 2026. I heard evidence from three witnesses of fact and from two experts, one instructed by each party.

B. The Facts

4. The wheat was delivered to the Defendant's warehouse No. 3 by road between 3 and 11 March 2025. A delivery note was signed for each load, and none records any defect.

5. On 2 June 2025 the Claimant's buyer sent a surveyor to sample the wheat before collection. The surveyor found live grain weevils in samples from the north end of the store and a moisture content of up to 16.8 per cent, against a contractual maximum of 14.5 per cent.[1]

[1] Survey report of Calder Marine & Cargo Surveyors dated 4 June 2025, trial bundle C/112.

6. The Defendant's records show that the roof above the north bay was repaired on 19 April 2025 after a storm, and that the temperature probes in that bay were not read between 14 April and 6 May 2025.

C. The Issues

7. The parties agreed a list of issues before trial. It can be reduced to two questions:
   (a) whether the wheat was damaged while it was in the Defendant's custody; and
   (b) if it was, whether clause 14 limits the Defendant's liability.

D. Discussion

(1) Custody and causation

8. A bailee for reward must show that it took reasonable care of the goods, or that its failure to do so did not cause the loss. The burden is therefore on the Defendant once the Claimant has shown that the goods were delivered in good condition and returned damaged.

9. I accept the evidence of Mr Haldane, the Claimant's quality manager, that the wheat was tested on loading and met the contract specification. His evidence was supported by the loading certificates and was not seriously challenged.[2]

10. The Defendant's expert suggested that the weevils could have been present at delivery in numbers too small to detect. That is possible in theory, but it does not explain why the infestation and the excess moisture were found only beneath the damaged section of roof.

11. On the balance of probabilities, I find that rainwater entered the north bay during the storm of mid-April, that the rise in moisture went unnoticed because the probes were not read, and that the warm, damp grain gave the weevils the conditions in which they multiplied.

(2) The limitation clause

12. Clause 14 provides that the Defendant's liability "shall in no circumstances exceed £20 per tonne of goods lost or damaged". The Claimant argues that the clause was not incorporated, because the standard terms were first sent after the storage contract had been concluded.

[2] Loading certificates, trial bundle B/41 to B/52.

13. The correspondence shows that the Defendant's quotation of 17 February 2025 stated that storage was "subject to our standard terms, available on request". The Claimant did not ask for them.

14. In my judgment, a reference of that kind is sufficient to incorporate standard terms between commercial parties of equal bargaining power. Nor is a limit of £20 per tonne unreasonable in a contract of storage where the depositor is free to insure the goods at their full value.

E. Conclusion

15. The Claimant succeeds on liability. Its damages are limited by clause 14 to £24,800, being £20 for each of the 1,240 tonnes damaged.

16. I will hear the parties on interest and costs if they cannot agree them within 14 days of the hand-down of this judgment.

Her Honour Judge Acheampong-Reid